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MANU/KA/7690/2007

IN THE HIGH COURT OF KARNATAKA AT BANGALORE

RFA No. 835 of 2000

Decided On: 13.04.2007

R. Vandana **Vs.** M. Kuppaswamy and Ors.

Hon'ble Judges/Coram:
N. Kumar, J.

Counsels:
For Appellant/Petitioner/Plaintiff: V.L. Sharma, Advocate

For Respondents/Defendant: B.S. Gurudath, Advocate

HIGH COURT Status:
Judgment challenged *vide* MANU/SC/0357/2018 dated: 02.04.2018

JUDGMENT

N. Kumar, J.

1. This is the plaintiff's regular first appeal.

2. This appeal is heard along with other six connected appeals. Though the parties are different, the question of law involved in all these appeals are one and the same. For a proper appreciation of the legal issues all the advocates appearing in these appeals were heard. and the legal issues have been answered. However, as the factual position differed from appeal to appeal, in the light of the finding recorded on legal issues, these appeals are decided by writing separate judgments relating to the facts of each appeal. For the sake of convenience, the parties are referred to as they are referred to in the suit.

3. The suit schedule property is a site bearing No. 115 situated in I phase, Kampapura Agrahara, Bengalore North taluk, Hosahalli Extension, Bangalore-560 040, measuring 30x50 ft., which is morefully described in the schedule to the plaint and hereinafter referred to as the schedule site. The Binny Mills Labour Association House Building Co-operative Society Ltd., Bangalore (for short hereinafter referred to as the Society) was the owner of the schedule site. The case of the plaintiff is, the said Society executed a registered sale deed dated 11.2.1975 which is registered on 12.2.1975 in favour of the plaintiff conveying the schedule site in her favour. She was put in possession in pursuance of the possession certificate dated 7.10.1975. The B.D.A. has made out a khata in the name of the plaintiff in respect of the schedule site. They have levied and collected the taxes from the plaintiff. She has paid taxes upto the date of filing of the suit. The Society appears to have passed a resolution on 28.9.1980 to the effect that the admission of nominal members to be annulled and steps to be taken in regard to the sites allotted in favour of the said nominal members. However, no steps were taken and the plaintiff is in uninterrupted possession of the schedule site. Even if the sale deed executed in her favour by the Society is held to be illegal as the plaintiff is in continuous and uninterrupted possession of the schedule site from 7.10.1975 till the date of suit, she has perfected her title by adverse possession.

4. The Society appears to have executed a sale deed favour of one Srinivasulu Naidu under a registered sale deed dated 17.3.1981. The said Srinivasulu Naidu appears to have executed a sale deed in favour of the defendant herein under a registered sale deed dated 14.9.1987. The defendant could get no right to the property. The plaintiff had to go out of India and as such he executed a General Power of Attorney in favour of B.S. Srinivasulu requesting him to look after the site and as the said Power of Attorney holder was transferred to New Delhi in 1987, he could not take care of the property. When he came back to Bangalore in February 1988 and when he went to visit the site, he found to his surprise a structure had been put up by the defendant for which he had no right to do. Inspite of the defendant being apprised that the site belongs to the plaintiff, the defendant continued construction of the building and the said action of the defendant is high handed and illegal. Unable to prevent the defendant from putting up any construction, the plaintiff was constrained to file a suit for declaration that he is the owner of the schedule site and is entitled to possession of the schedule site and in the alternative for delivery of possession of the schedule site to him and for an injunction end other consequential reliefs such as permanent injunction, etc.

5. After service of summons, the defendant entered appearance and filed a detailed written statement denying the claim of the plaintiff. The defendant admitted the sale of the schedule site in favour of the plaintiff under a registered sale deed dated 12.2.1975, He denied that the plaintiff was put in possession and contended that the possession certificate was only a nominal one and payment of tax, getting khata transferred in his name would not confer title to the plaintiff. It was specifically contended that the plaintiff was only a nominal member and subsequently the Society passed another resolution on 28.9.1980, in pursuance of which the sites which was allotted to the plaintiff was cancelled by the Society and subsequently the cancellation deed was also executed by the Society with respect to the schedule site and the plaintiff is aware of the cancellation deed. The plaintiff filed a suit in O.S. No. 1782/82 against the Society for setting aside the deed of cancellation. The said suit was tried along with O.S. No. 1781/82 and O.S. No. 1783/82. All the three suits were dismissed by the XVIII Addl. City Civil Judge, Bangalore city by its judgment dated 27.3.1986. The plaintiff has intentionally suppressed the filing of the said suit and the decree passed therein. Because of the ex-parte temporary injunction paused in this case, the defendant has been put to great loss and the defendant was prevented from proceeding with the construction resulting in loss of money material and labour because of stoppage of work, Therefore, they sought for dismissal of the suit, When the plaintiff amended the plaint, the defendant filed additional written statement reiterating the very same contentions. It was further contended that when the plaintiff has allowed the defendant to construct a building on the schedule site, the plaintiff is not entitled to possession and this court has no jurisdiction to try the suit as the suits barred under Section 70 of the Karnataka Co-operative Societies Act, 1959.

6. On the aforesaid pleadings the trial court framed five issues and four additional issues.

1. Whether the plaintiff proves her lawful possession of the suit property?

2. Whether the plaintiff proves that the defendant has unlawfully put up the structure on the suit site?

3. Whether the plaintiff proves that she is entitled for a direction to the defendant to pull down and demolish the structure on the suit site?

4 . Whether the plaintiff proves that the defendant interfered with her possession of the suit schedule property?

5. What relief or order?

Additional Issues:

1. Whether the plaintiff proves her title to the suit property?

2. Whether the plaintiff proves that she is entitled to continue and has the right to be continued in possession of the suit site?

OR

Whether the plaintiff is entitled for possession of the suit site?

3. Whether this Court has no jurisdiction under Sec. 70 of the Karnataka Co-operative Societies Act?

4. Whether this suit is hit by res judicata?

7. In support of the respective contentions the parties have adduced evidence. The plaintiff examined her Power of attorney holder B.S. Sriniwas as PW-1, produced 12 documents which are marked as Ex. P-1 to P-12. On behalf of the defendant M. Kuppaswamy was examined as DW-1 and also examined two other witnesses as DW-2 and DW-3 and produced 22 documents which are marked as Ex. D-1 to D-22.

8. The trial court on appreciation of the oral and documentary evidence on record held that in view of the refusal of the Assistant Registrar of Co-operative Societies to approve the amendment to the bye-laws, the plaintiff was not a nominal member of the Society, Therefore the sale deed executed in favour of a non-member of the Society is void. The suit filed by the plaintiff for cancellation of the cancellation deed was dismissed and therefore the sale deed under which the plaintiff relies on stands cancelled, Therefore the plaintiff cannot claim title. It farther held that several nominal members had filed suite against the Society and subsequent allottees after their cancellation of sale deeds for a decree of declaration of title, possession and injunction. The trial court had decreed all the suits. In appeal the Karnataka High Court clubbed all those cases together and pronounced a common judgment on 15.4.1989 allowing the appeals and dismissing the suit filed by suck nominal member, which judgment is binding on the trial court. For the aforesaid reasons it dismissed the suit of the plaintiff. Aggrieved by the said judgment and decree of the trial court. dismissing the suit, the plaintiff is in appeal.

9. Sri V.C. Sharma, learned counsel appearing for the appellant contended that the judgment and decree on which reliance was placed by the high court is now set aside by the Supreme Court and the matter is remanded back to the High Court for fresh consideration. Secondly, he contended that against the judgment and decree of the trial court dismissing the plaintiff's suit where he had sought for cancellation of the cancellation deed, the High Court in R.F.A. No. 730, 731 and 732 of 1986, by an order dated 5.12.1986 as per Ex. P-5 produced in the case, dismissed the appeal with an observation that whatever has been stated by the trial court regarding other issues, it is kept open because the suits have been dismissed on technical ground of want of notice itself. Thus the finding on other issues will not operates res-judicata and it is open to the appellant herein to re-agitate the matter. Therefore the two reasons given but the

trial court cannot be sustained. Further it was contended that there is no prohibition in the bye-laws for execution of a sale deed in favour of a non-member. Even if it is to be held that a non-member is not entitled to a sale deed from the society, the sale deed executed by the society would be voidable at the instance of the society and not void ab initio. Admittedly no steps are taken in accordance with law for cancellation of such sale deeds . Therefore, until and unless the said sale deeds are cancelled in a manner known to law the said sale deeds are valid in the eye of law. When ones the said sale deed is valid, the society ceases to be the owner of those sites having conveyed absolute title in favour of non-members. Therefore, the sale deed executed by the society for the second time in favour of persons in respect of those sites would not convey any title to the members and, therefore, the said sale deed is void, non-est in the eye of law. Even if the society is held to be entitled to get the sale deed executed in favour of a non-member cancelled such a cancellation, cannot be done by the society unilaterally by executing the cancellation deed and getting it registered. The cancellation of the sale deed has to be by a Court as contemplated under Section 31 of the Specific Relief Act, 1963. The bye-lows of a society cannot be equated to law, rules or regulations. It is only an agreement between the society and its members. It would not partake the character of law. Therefore, even if the sale deed executed by the society is held to be contrary to bye-law 36 it does not fall within the mischief of Section 23 of the Contract Act as contended and is not void.

10. Per contra, the learned counsel appearing for the respondent supported the impugned judgment and decree of the trial court and further contended that a sale deed executed fey the society in favour of a non-member of the society is void ab initio, Therefore, the society was competent to execute a sale deed in respect of those sites in favour of a member of the society without the cancellation of the earlier sale deed. However, by way of abundant caution. a deed of cancellation has also been executed which in the facts of the case is valid and legal. The sale deeds executed by the society in favour of a non-member is contrary to bye-law No. 36 which provides for such sale deed being executed by the President, Vice President, the Secretary and three Directors of the company. As the sale deed is not executed by all of them, the said sale deed is void on that ground also.

11. In order to appreciate the rival contentions, the three resolutions of the society passed on 09.12.1973, 25.12.1973 and 25.09.1980, are relevant and also assumes significance.

12. In a meeting of the Board of Directors of the society held on 09.12.1973, President, Secretary and Treasurer have been specifically authorised to execute the sale deed in favour of outsiders who may be admitted as nominal members in terms of section 18 of the Mysore Co-operative Societies Act, 1959. After the aforesaid resolution was passed by the Board of Directors, the Secretary wrote a letter to the Assistant Registrar of the Co-operative Societies on 10.12.1973, requesting permission to sell the surplus building sites owned by the society to outsiders. By a letter dated 13/14.12.1973 the Assistant Registrar declined to grant permission.

13. Thereafter, Special General Body meeting was convened on 25.12.1973 which disclose, that in the said meeting R. Annayappa, the Secretary informed the members that due to non-availability of funds, the progress cannot be made in the layout work. He therefore, requested the members to pay the balance amount due from them towards the value of the sites allotted to them. In this connection, he also informed the members that the State Housing Corporation has refused to give any more loan to the society but it is pressing the society to return Rs. 3,00,000/-, which it has lent to the

society earlier. In reply to the question of Sri. Rajagopal, the Secretary answered that, if all the members pay the amounts due to the society, the society will be in a position to pay the loan to the Corporation and avoid payment of interest. It is because of the members non-co-operation, the society is unable to pay the loan to the State Housing Corporation. Few others suggested that instead of charging interest on the members for delay in payment of the site value, the society may sell those excess 51 sites to non-members for higher rates and adjust the name towards interest payable by members, by such method even the loan of the Corporation may be reduced. This suggestion was fully supported by members including Sri. Rajagopal. Then, the Secretary explained that if the society were to sell sites to non-members, then they have to amend the Bye-laws and admit those outsiders as nominal members and sell those sites as provided in Co-operatives Societies Act. It was agreed by the large number of members who were present in the meeting. Therefore, it was unanimously resolved to amend the Bye-laws, to admit outsiders as nominal members and to allot sites to them on payment of Rs. 32/- per sq. yard. After the Special General Body meeting approved the amendment of Bye-laws, the society forwarded the said proposal for the approval of the Assistant Registrar of the Co-operative Societies, by a letter dated 12.08.1974. The Assistant Registrar informed the society that the amendments proposal cannot be approved as it was not submitted within thirty days from the date of passing of the resolution and he also pointed out certain procedural irregulations and called upon the society to comply with the procedural requirements and then get the amendment passed in the general body and then submit the same for approval. However, no steps were taken by the society.

14. Thereafter, the society was superseded and an administrator was appointed. The administrator did not take any steps. However, after elections were conducted and the new office bearers took over on 25.04.1980, the very same proposals were sent to the Assistant Registrar of the Cooperative Societies, who by a letter dated 03.09.1980 declined to approve the proposed amendments on the ground that the approval is sought after seven years from the date of passing of the resolution and informed the society to re-examine all the Bye-laws and bring a fresh amendment proposal before the General Body and submit the same for necessary action.

15. Thereafter a General Body Meeting was conducted on 28.09.1960. On the day of this meeting, Annayappa was not the Secretary, but still he participated in the General Body Meeting. It was Rajagopal who was the Secretary on that day. The aforesaid letter dated 03.09.1980 was placed before the General Body. In fact, in the said meeting, Sri. Annayappa spoke in support of the amendment. However, the General Body opposed the said amendments and passed a resolution to the effect that person who are not the employees of Binny Mills should not be admitted as members of the society. Further it resolved to cancel the membership of such persons who are not the employees of the Binny Mills. Further it was resolved that the allotment of sites to them without the approval of the Bye-law is not in accordance with law and the Secretary at that point of time had no right to sell the properties and therefore, even if such allotment had been made, such nominal members do not acquire any title to the property. Therefore, President was authorised to initiate suitable proceedings against such illegal allottees and further he was authorised to take steps even against such allottees, who have put up constructions on such sites. It is in pursuance of the said resolutions, the society has executed the sale deeds to its members, the very same sites which were sold to such nominal members without taking steps to cancel the same. But, after execution of the sale deed, they have executed cancellation deed cancelling the earlier sale deeds and got the same registered.

16. In this background the points that arise for consideration are as under:

(1) Whether the sale deed executed by the Society in favour of a non-member is void or voidable?

(2) Whether the sale deeds executed by the Society represented by its office bearers contrary to bye law 36 is valid or void?

(3) Whether the sale deed executed by the Society in favour of its member in respect of the sites for which the society had already executed sale deed in favour of non-member is void or voidable?

(4) Whether the cancellation deeds executed unilaterally by the Society is void or voidable?

17. In order to answer these questions one should have clear distinction between the legal terms such as valid, invalid, void and voidable.

18. Section 2 of the Indian Contract Act, 1872, states that in what sense the aforesaid expressions are used in the Act. Section 2(h) states that an agreement enforceable by law is a contract. Section 2(i) states that an agreement which is enforceable by law at the option of one or more of the parties thereto but not at the option of the others or others, is a voidable contract. Section 2(g) states that an agreement not enforceable by law is said to be void. Section 2(J) states that contract which ceases to be enforceable by law becomes void when it ceases to be enforceable. Chapter II of the Act deals with contracts, voidable contracts and void agreements. Section 19 of the Act provides that, when consent to an agreement is caused by coercion, fraud, misrepresentation or undue influence, the agreement is a contact voidable at the option of the party whose consent was so caused. However, if both the parties are under a mistake as to a matter of fact the said agreement is void.

19. Section 23 of the Act which declares what considerations and objects are lawful, and what not and about the contract being void reads as under:-

"23. What considerations and objects are lawful, and what not.- The consideration or object of an agreement is lawful, unless-

it is forbidden by law; or

is of such a nature that, if permitted, it would defeat the provisions of any law;

or

is fraudulent; or

involves or implies injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy.

In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful, is void.

Sections 24 to 30 deals with void agreements. Certain types of contingent agreements are also declared to be void under the Act.

19. These statutory provisions have been the subject matter of interpretation by jurists as well as courts, and these concepts are now well crystallized.

Salmond on Jurisprodene, 12th Edition:

> "In respect of their legal efficacy agreements are of three kinds being either valid, void or voidable. A valid agreement is one which is fully operative in accordance with the intent of the parties. A void agreement is one which entirely fails to receive legal recognition or sanction, the declared will of the parties being wholly destitute of legal efficacy. A voidable agreement stands midway between these two cases. It is not a nullity, but its operation is conditional and not absolute. By reason of some defect in its origin it is liable to be destroyed or cancelled at the option of one of the parties to it. On the exercise of this power the agreement not only ceases to have any efficacy, but is deemed to have been void ab initio. The avoidance of it relates back to the making of it. The hypothetical or contingent efficacy which has hitherto been attributed to it wholly disappears, as if it had never existed. In other words, a voidable agreement is one which is void or valid at the election of one of the parties to it."

20. De Smith, Woolf and Jowell in their treaties Judicial Review of Administrative Action, Fifth Edition, paragraph 5-044, has summarized the concept of void and violable as follows:

> "Behind the simple dichotomy of void and voidable acts (invalid and valid until declared to he invalid) lurk terminological and conceptual problems of excruciating complexity. The problems arose from the premise that if an act, order or decision is ultra in the sense of outside jurisdiction, it was said to be invalid or null and void. If it is intra vires it was, of course, valid. If it is flowed by an error perpetrated within the area of authority or jurisdiction, it was usually said to be voidable; that is, valid till set aside on appeal or in the post quashed by certiorari for error of law on the face of the record."

21. Cilve Lewis in his words Judicial Remedies in Public Law at page 131 has explained the expressions "void and voidable" as follows:-

> "A challenge to the validity of an act may be by direct action or by way of collateral or indirect challenge. A direct action is one where the principal purpose of the action is to establish the invalidity. This will usually be by way of an application for judicial review or by use of any statutory mechanism for appeal or review. Collateral challenges arise when the invalidity is raised in the course of some other proceedings, the purpose of which is not to establish invalidity but where questions of validity become relevant."

22. This question was examined by Court of Appeal in the case of R. v. Paddington Valuation Officer and another, Ex parte Peachey Property Corporation, Ltd., (1965) 2 All ER 836, where the valuation list was challenged on the ground that the same was void altogether. On those facts, Lord Denning, M.R. laid down the law observing at page 841 thus:-

> "It is necessary to distinguish between two kinds of invalidity. The one kind is where the invalidity is so grave that the list is a nullity altogether. In which case there is no need for an order to quash it. It is automatically null and void

> without more (sic). The other kind is when the invalidity does not make the list void altogether, but only voidable. In that case it stands unless and until it is set aside. In the present case the valuation list is not, and never has been, a nullify. At most the first respondent-acting within his jurisdiction - exercised that jurisdiction erroneously. That makes the list voidable and not void. IT remains good until it is set aside."

23. In the case of In re Mec. (A. Minor),(1985) 1 AC 528, the House of lords followed the dictum of Lord Coke in the Marshalsea case quoting a passage rendered in (1613), 10 CO rep 68b at P. 76a where it was laid down that where the whole proceeding is coram non judice which means void ab initio, the action will be without any regard to the precept or process. The court laid down at page 532 thus:-

> "When a Court has jurisdiction of the cause, and, proceeds inverso ordine or erroneously, there the party who sues, or the officer or minister of the Court who executes the precept or process of the Court no action lies against them. But when the Court has no jurisdiction of the cause, there the whole proceeding is coram non judice, and actions will be against them without any regard of the precept or process....."

24. In another decision, in the case of Director of Public Prosecution in v. Head, 1959 AC 83, House of Lords observed at p 111 while considering validity of an order passed in a criminal case, the Court of criminal appeal quashed the conviction on the ground that the aforesaid order of secretary was null and void and while upholding the decision of the Court of criminal appeal thus:-

> "This contention seems to me to raise the whole question of void or voidable for if the original order was void, it would in law be a nullity. There would be no need for an order to quash it. It would be automatically null and void without more ado. The continuation orders would be nullities too, because you cannot continue a nullity."

25. The Supreme Court in the case of DHURANDHARA PRASAD SINGH v. JAI PRAKAS UNIVERSITY AND OTHERS, MANU/SC/0381/2001 : AIR 2001 SC 2552 had an occasio to consider these expression. It held that the expressions "void and voidable" have been subject-matter of consideration on innumerable occasions by Courts. The expression "void" has several facts. One type of void acts, transactions decrees are those which are wholly without jurisdiction, ab initio 'void and for avoiding the same no declaration is necessary, law does not take any notice of the same and it can be disregarded in collateral proceeding or otherwise. The other type of void act, e.g., may be transaction against a minor without being represented by a next friend. Such a transaction is good transaction against the whole world. So far the minor is concerned, if he decides to avoid the same and succeeds in avoiding it by taking recourse to appropriate proceedings the transaction becomes void from the very beginning. Another type of void act may he which is not a nullity but for avoiding the same a declaration has to be made. Voidable act is that which is a good act unless avoided, e.g., if a suit is filed for a declaration that a document is fraudulent and/or forged and fabricated, it is voidable as apparent state of affairs is real state of affairs and a party who alleges otherwise is obliged to prove it. If it is proved that the document is forged and fabricated and a declaration to that effect is given a transaction becomes void from the very beginning. There may be a voidable transaction which is required to be set aside and the same is avoided from the day it is so set aside and not any day prior to it. In cases, where legal effect of a document cannot be taken away without setting aside the same, it cannot be

treated to be void but would be obviously voidable.

26. Therefore, the law on the point could be summarised as under:-

> A valid agreement is one, which is enforceable in law as a contract, by the parties to the agreement. A void agreement is one, which does not exist in the eye of law, and therefore fails to receive any legal recognition or sanction. In legal parlance it is a nullity or non-est. It is not a contract at all. It would be automatically null and void without more ado. Its existence or continuation has no value, as you cannot continue a nullity. If a statute specifically provides that a contract contrary to the provisions of the statute would be void, it is no contract in the eye of law, it is void ab initio, and the said agreement is unenforceable in law. In between these two extreme positions, lies the voidable agreement. In law it exists and also recognized. It is a contract. It can also be enforced. But because of some defect in its origin, at the option of the party to the agreement, it is liable to be cancelled or set aside. In other words, a voidable agreement is one which is void or valid at the election of one of the parties. However, it is valid, till it is declared void by a competent court of law, in a manner known to law. Therefore, it is not a nullity or non est. It is valid and good unless avoided. It requires to be set aside.

27. Unless the statute specifically provides that a contract contrary to the provisions of the statute would be void, the contract would remain binding between the parties and could be enforced between the parties themselves. The question whether a particular thing is prohibited by the statute must in every case depend upon the true construction of the contract. One has to know the clear distinction between the word "excess of authority" as well as "something illegal which is prohibited by law". The two things are substantially different. If the transaction is tainted with any illegality and consequently the contract is not avoided, the title under the said contract passes. If the object of the agreement is not shown to be illegal there is no impediment to the enforcement of the said agreement. The idea of illegality is different from the idea of excess of authority.

28. It is in the light of this settled legal position, the point that arise for consideration in this appeal are to be answered.

Point No. 1

29. Binny Mills Employees Cooperative Society is a society registered under the provisions of the Karnataka Cooperative Societies Act, 1959. It is a body corporate by the name under which it is registered having perpetual succession and a common seal and with power to hold property, enter into contracts, institute and defend suits and other legal proceedings and to do all things necessary for the purposes for which it was constituted. The management of the said society vests with the Board of Directors constituted in accordance with the Act, Rules and Bye-Laws of the society. The Board of Directors exercise such powers. discharge such duties and perform such functions as are conferred upon it by the Act, Rules said the Bye-laws. The society has a President, Secretary, Treasurer who are elected in accordance with the provisions of the Act, Rules or Bye-laws. The Board of Directors of the society in the meeting held on 9.12.1973 authorised the President, the Secretary and the Treasurer to execute the sale deeds in favour of outsiders who may be admitted as nominal members in terms of Section 18 of the Mysore Cooperative Societies Act, 1959.

30. It is in pursuance of the said authorisation, the President, the Secretary and the Treasurer of the Society have executed the sale deeds in favour of non-members. A

registered society under the Co-operative Societies Registration Act is a Cooperation or a quasi Corporation capable of entering into contracts. The registration confers on it a legal personality and consequently any contract entered into by it would be legally enforceable unless it is vitiated by an illegality or is shown to be void for any other reason. In the entire Bye-laws of the society there is no express prohibition prohibiting the society from selling the sites belonging to the society in favour of non-members. Till today the said resolution of the society is not challenged or annulled by the society. In the special General Body Meeting held on 25.12.1973 the Secretary Rajagopal also participated and supported the proposal to sell the sites to outsiders at a higher price. The object of selling the sites to non-members is to raise money to pay the loan to the Corporation which the society had borrowed for the formation of the layout and also avoid payment of interest as the members of the society were not co-operating in contributing funds for the said purpose. Therefore, the object behind the sale of the sites to non-members at the market price is neither illegal nor against the interest of the members of the society.

31. In so far as non-members who are purchasing the property are concerned they were dealing with the society represented by its President, Secretary and Treasurer. All the three of them have executed the sale deeds in their favour. The sale was for a valid consideration. There is no prohibition in the bye-laws to sell the sites in favour of non-members. Therefore, the sale deed executed by the society in favour of the non-members cannot be said to be void. The said agreement is not forbidden by law or is of such a nature that it would defeat the provisions of any law or it is immoral or opposed to public policy. Therefore, the said agreement is lawful and not void.

Point No. 2

32. In so far as the contention that the sale deed executed is contrary to bye-law 36 and, therefore, it is void is without any substance. Clause 36 of the bye-law reads as

> "36. Powers of President:- The President shall have general control over the working of the society and he shall whenever present, preside over the meetings of the Board as well as the general meeting.
>
> The President, Secretary and three other Directors shall sign all documents executed on behalf of the society".

33. It is true under the aforesaid bye-law the sale deed on behalf of the society is to be executed by the President, the Secretary, and three Directors. In the instant case it is executed only by the President, Secretary and Treasurer, who is one of the Director and two other Directors have not executed the said sale deed. The question is whether it renders the sale void. In this regard it is useful to refer to a judgment of the Supreme Court in the case of Co-operative Central Bank Ltd. and others v. Additional Industrial Tribunal, Andhra Pradesh, Hyderabad and others reported in MANU/SC/0611/1969 : AIR 1970 SC 245 wherein it has been held as under:-

> "The bye-laws to a co-operative society framed in pursuance of the provisions of the Act cannot be held to be law or to have the force of law. It has no doubt been held that, if a statute gives power to a Government or other authority to make rules, the rules so framed have the force of Statute and are to be deemed to be incorporated as a part of the statute. That principle, however, does not apply to bye-laws of the nature that a co-operative society is empowered by the Act to make. The bye-laws that are contemplated by the Act can be merely those which govern the internal management, business or administration of a

society. They are of the nature of the Articles of Association of a company incorporated under the Companies Act. They may be binding between the persons affected by them, but they do not have the force of a statute".

34. In view of the aforesaid authoritative pronouncement of the Supreme Court the said bye-law cannot be equated, to law, rules or regulations. The said bye-laws only govern the internal management, business or administration of a society. They are in the nature of Articles of Association of a Company incorporated under the Companies Act. It has no statutory force. Any act of the society contrary to the said bye-law ipso facto do not render the said act void and without authority. When the society enters into a contract with third parties or outsiders those outsiders are in no way bound by the said bye-law. The society is a body corporate by name having a perpetual succession and a common seal and when a contract is entered into on behalf of such society by the office bearers of the society such as the President, the Secretary and the Treasurer, in so far as third parties are concerned, it is not binding on the society even though it is contrary to the bye-law. In fact on that ground till today no steps are taken by the society to get the sale deed annulled. On the contrary, the society has executed the rectification deed and the sale deed in favour of members which are executed only by the Secretary. The President and Treasurer have not signed the said documents. The defence taken by the society clearly shows that it is under the impression that the sale deed in favour of a non-member is executed only by the Secretary and that he has misappropriated the said amount and he had no authorization to execute the sale deed. But, the material on record demonstrates that before the execution of the sale deed, there was resolution dated 9-12-1973 authorizing the President, the Secretary and Treasurer to execute the sale deed in favour of non-members for the purpose of raising finances to complete the layout work as well as to pay interest due by the society which the members of the society were incapable of discharging. In pursuance of the said resolution, the President, Secretary and the Treasurer have executed the sale deed. Neither the subsequent sale deed executed by the society in favour of member nor the cancellation deed executed by the society is executed by the President, Secretary and Treasurer. It is only the Secretary who has executed the said documents. If the argument of the society is to be accepted, then the cancellation deed as well as sale deed in favour of a member also becomes void. The allegations made against the previous Secretary Sri Anniyappa is without any basis as is clear from the aforesaid three resolutions. Therefore, in the light of the discussion above, I do not find any merit in the said contention. The sale deed executed by the society represented by the President, Secretary and the Treasurer in favour of a non-member is valid and binding on the society and it is not void.

Points No. 3 and 4

35. When the owner of a property sells/conveys the property to the purchaser under a written document and get the same registered, the title to the said property is transferred from the owner to the purchaser on registration of the said documents. After such registration the owner of the property ceases to have any interest and all his rights in the property gets extinguished. He would not have any right to meddle with the property thereafter. If such a person were to execute one more sale deed and get it registered in respect of the said property the said sale deed has no value in the eye of law. The reason being on the date of the second sale deed, he is not the owner of the property. Therefore, the purchaser would not get title to the property as the vendor could convey only that title which he has in the property on the date of execution and registration of the sale deed. Similarly, if after execution and registration of the sale deed the owner wants to get back the property, it has to be done by cancelling the sale deed on any of the grounds which are available to him under the provisions of the

Indian Contract Act. Unilaterally he cannot execute what is styled as a deed of cancellation, because on the date of execution and registration of the deed of cancellation, the said person has no right or interest in the property in respect of which the deed of cancellation is executed and registered. Normally what can be done by a Court can be done by the parties to an instrument by mutual consent. Even otherwise if the parties to a document agree to cancel it by mutual consent for some reasons and restore status quo ante, it is possible to execute such a deed. An agreement of sale, lease or mortgage or partition may be cancelled with the consent of the parties thereto. Because in the case of agreement of sale, Issue, mortgage or partition, each of the parties to the said document even after the execution and registration of the said deed retains interest in the property and, therefore, it is permissible for them to execute one more document to annual or cancel the earlier deed. However, it would not apply to a case of deed of sale executed and registered. In the case of a sale deed the owner completely loses his right over the property and the purchaser becomes the absolute owner, It cannot be nullified by executing a deed of cancellation because by execution and registration of such a deed the properties are being vested in the purchaser and the title cannot be divested by mere execution of a deed of cancellation. Therefore, even by agreement between the purchaser and the vendor, the said sale deed cannot be annulled. Therefore, even by consent of parties, a deed of sale cannot be cancelled. If the purchaser wants to give back the property, it has to be by another deed of reconveyance. If the deed is vitiated by fraud or other grounds mentioned in the Contract Act, there is no possibility of parties agreeing by mutual consent to cancel the deed. It is only the Court which can cancel the deed duly executed, under the circumstances mentioned in Section 31 and other provisions of the Specific Relief Act, 1963. Therefore, the power to cancel a deed vests with a Court and it cannot be exercised by the vender of a property. In this context it is necessary to see Section 31 of the Specific Relief Act, which reads as under:-

> "31. When cancellation may be ordered:-
>
> (1) Any person against whom a written instrument is void or voidable, and who has reasonable apprehension that such instrument, if left outstanding may cause him serious injury, may sue to have it adjudged void or voidable, and the court may, in its discretion, so adjudge it and order it to be delivered up and cancelled.
>
> (2) If the instrument has been registered under the Indian Registration Act, 1908 (16 of 1908), the Court shall also send a copy of its decree to the officer in whose office the instrument has been so registered; and such officer shall note on the copy of the instrument contained in his books the fact of its cancellation."

36. A reading of the aforesaid provision makes it clear that both void and voidable instruments can be cancelled by the Court. The cause of action for such an action is an apprehension, if such an instrument is left outstanding may cause the person against whom the written instrument is void or voidable serious injury. Such a person has the discretion to approach a competent Civil Court for adjudging the said instrument to be delivered up and cancelled. Even though in law a void instrument is unenforceable, has no value in the eye of law, void ab initio, the very physical existence of such a document may cause a cloud on the title of the party or cause injury or one can play mischief. Therefore, the law provides for cancellation of such instruments which are also non est, but which are in existence as a fact physically to get over the effect of such instrument. Once such an instrument is registered, the said registration has the

effect of informing and giving notice to the World at large that such a document has been executed. Registration of a document is a notice to all subsequent purchasers or encumbrances of the same property. The doctrine of constructive notice is attracted. Therefore, the effect of registration of an instrument not only affects the rights of the parties to the instrument but also affects parties, who may claim under them. Therefore, once such an instrument is ordered to be delivered up and cancelled an obligation is cast upon the Court to send a copy of its decree to the officer in whose office the instrument was registered, so that such an officer shall note on the copy of the instrument contained in his books the fact of its cancellation. Once such an entry is made in the books of the Sub-Registrar about the cancellation of the registered instrument, it also acts as a notice of cancellation to the whole World and it is also a constructive notice of cancellation of the said instrument.

37. Part X of the Indian Registration Act, 1908 deals with effect of registration and non-registration of an instrument. A combined reading of Sections 47, 48 and 49 makes it clear that an instrument which purports to transfer title to the property requires to be registered, the title does not pass until registration has been affected. The registration by itself does not create a new title. It only affirms a title that has been created by the deed. The title is complete and the effect of registration is to make it unquestionable and absolute. Section 47 of the Act makes it clear that a registered document shall operate from the time from which it would have commenced to operate if no registration thereof had been required or made and not from the time of its registration. The Section however does not say when a sale would be deemed to be complete. However, Section 48 of the Registration Act makes it clear that, though a document is registered on a particular date, the effect of the date would be the date on which the said document was executed and not from the date of registration. If the document is not registered but is compulsorily registerable though the document is duly executed, it has no legal effect and it does not affect the immovable property comprised in the said document in view of Section 49 of the Act. The registration of such a duly executed document comes into operation, the moment it is duly registered, not from the date of registration but from the date of execution of the said document. Section 54 of the Transfer of Property Act, 1882, which deals with sales of immovable property mandate emphatically the transfer of an tangible immovable property of the value of one hundred rupees and upwards, can be made only by a registered instrument. Thus, without registration there is no transfer of ownership of the property. Therefore, it is clear that the act of registration in the scheme of things is not a mere instance of the State collecting some registration fee and providing authenticity to a written instrument. It is by the act of registration, the title in the property passes to the transferor, from the date of execution of the deed of transfer. Once such sale takes place, transfer is complete, the vendor of the property ceases to be the owner of the property. Thereafter, if he executes one more sale deed in respect of the same property or a cancellation deed in respect of the property already sold, in law it has no value, and it in no way affects the sale deed already executed. It is invalid, void, and non-est.

38. The material on record established that the suit schedule site originally belonged to the Society. The Society under a registered sale deed dated 11.2.1975 registered on 12.2.1975 sold the schedule site in favour of the plaintiff herein for a valuable consideration as per Ex. P-2 on 7.10.1975. The plaintiff was put in possession of the schedule site as is clear from Ex. P-3 the possession certificate. The B.D.A. has made out the khata in the name of the plaintiff as per Ex. P-4 the khata endorsement. Thus the plaintiff has become the absolute owner in possession of the schedule site.

39. It is after the execution of the sale deed in favour of the plaintiff, on 11.2.1975 the

society has sold the very same site in favour of Srinivasa Naidu, the vendor of the defendant on 17.3.1981. On the day the sale deed was executed the society was not the owner of the site and, therefore, Srinivasa Naidu acquired no title to the suit property. It is from that Srinivasa Naidu the defendant herein has purchased the schedule site under a registered sale deed dated 14.9.1987. As the defendant's vendor had no title, defendant acquired no title to the suit property. The society as per Ex. D8 dated 11-6-1981 has executed the cancellation deed cancelling the sale deed in favour of the plaintiff dated 11.2.1975.

40. The plaintiff had filed a suit in O.S. No. 1782/1982 for setting aside the deed of cancellation dated 11.6.1981 against the Society. The plaintiff's suit and two other similar suits were clubbed together. The trial court by a common judgment and decree dated 27.3.1986 dismissed thus suits on the ground of want of notice u/s. 125 of the Karnataka Co-operative Societies Act, 1959. It also had recorded the findings on merits against the plaintiffs. All the three plaintiffs in the said suit preferred regular appeals before this court in R.F.A. No. 730, 731 and 732 of 1986. The High Court affirmed the findings of the trial court in respect of notice, to the effect that as the dispute touches the constitution, management and business of the Society, the notice u/s. 125 of the Act was mandatory and as admittedly such a notice was not issued the suit itself was not maintainable. Therefore it dismissed all the appeals. However it observed:

> "In a suit which is not maintainable the Court also had no jurisdiction to record a finding on merit and therefore it clarified that whatever has been stated by the trial court regarding other issues, it is kept open because the suits have been dismissed on the technical ground of want of notice itself".

41. Therefore the finding recorded by the trial court on merits about the validity of the cancellation deed has not reached finality or it will no operate as res-judicata. This is one of the reasons given by the trial Court in dismissing the suit of the plaintiff. It is clear that the trial Court was not properly appraised of the said judgment of the High Court and accordingly the said finding is liable to be set aside.

42. Yet another factor which is to be taken note of is several nominal members as in the case of the plaintiff have filed suits for declaration of title and for consequential relief's based on the sale deeds executed by the Society in their favour. The said suits were filed against the Society and the subsequent purchasers. After contest, the trial court had decreed the suits of the plaintiffs. The defendants in the said suits had preferred regular appeal before this court. This court clubbed all those appeals together and by a common judgment and decree dated 15.4.1989 allowed the appeals and dismissed the suits of the plaintiffs. Aggrieved by the said judgment the plaintiffs in those suits preferred S.L. Ps. before the Supreme Court wherein special leave was granted. Civil Appeal No. 5838/89 and other connected matters were heard on merits and by an order dated 1.3.2005 all the appeals were allowed, the judgment and decree of the High Court was set aside and the matter was remanded back to the High Court for disposal of the appeals on merit. This is another reason given by the trial Court dismissing the suit of the plaintiff. Now, that the judgment and decree of this Court dated 15-4-1989 is set aside by the Supreme Court, the reasoning of the Trial Court is also liable to be set aside and accordingly it is set aside.

43. The defendant obtained a sanction plan, license and attempted to put up a construction on the schedule site. It is at this juncture the plaintiff has filed the suit for declaration of his title to the suit schedule site, for a decree of mandatory injunction to pull down the structures put up by the defendant, for delivery of possession and also

for injunction. The trial Court granted an ex-parte order of temporary injunction. After appearance of the defendant in the suit, he sought for vacating the order of temporary injunction. After contest, the ex-parte order of temporary injunction granted was made absolute. Aggrieved by the said order of temporary injunction, the defendant preferred a Miscellaneous First Appeal in MFA No. 1293/68 before this court. This court by an order dated 18.7.1988 allowed the appeal, set aside the order of the trial court on the undertaking of the defendant that in the event of the plaintiff succeeding in the suit, to hand-over the vacant possession of the suit schedule site with the structures thereon to the plaintiff. Accordingly this court disposed of the M.F.A. on 18.7.1988 recording the said undertaking in the above manner. The said undertaking reads as under:

> "The learned counsel for the appellant-defendant undertakes to hand-over the vacant possession of the suit site in favour of the respondent-plaintiff in case if he were to suffer a decree in the suit. This undertaking is placed on record".

44. In terms of the said undertaking if the plaintiff were to succeed in the suit he has agreed to voluntarily hand over the house with the site.

45. In view of what is set out earlier the sale deed executed as per Ex. P2 in favour of the plaintiff by the society is valid and legal. It is not void as held by the trial Court. The defendant acquired no title under the sale deed dated 14.9.1987 as per Ex. D5 as his vendor did not acquire any title under Ex. D6 dated 17.3.1981. However, defendant is in possession of the property. The cancellation deed executed by the defendant is unilateral. Plaintiff has no notice. Without hearing the plaintiff, behind her back the said document is executed. It is nobody's case that the society has refunded the money to the plaintiff. Under these circumstances, the findings recorded by the trial Court that the plaintiff has no title, defendant is the owner of the property cannot be sustained. Plaintiff has established her title to the suit property under the sale deed dated 11.2.1975. The very fact that the society has executed a cancellation deed cancelling the execution of the sale deed shows the execution of the sale deed dated 11-2-1975 in favour of the plaintiff was admitted. The cancellation deed has no legal effect. It is void. Similarly, the sale deeds dated 17.3.1981 and 14.9.1987 convey no title, as the society which executed the sale deed was not the owner on the day the said document came into existence. In that view of the matter, the judgment and decree of the trial Court is liable to be set aside and the plaintiff's suit is to be decreed. Hence, I pass the following order :-

(a) Appeal is allowed.

(b) The judgment and decree of the trial Court passed in O.S. No. 1439/1988 is hereby set aside.

(c) Plaintiff is declared as the absolute owner of the suit property.

(d) The defendant shall hand over possession of the schedule property to the plaintiff within three months from the date of receipt of a copy of the judgment and decree, in terms of the undertaking already given to this Court.

(e) Parties to bear their own costs.

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